

Lab: Organizational Agency Diagnostic

Objectives

Learning Goal: Assess the coherence and alignment of organizational agency in a real firm, identifying where distributed inference succeeds and where it breaks down.

This is a **case study exercise** designed for business professionals. Focus is on diagnosis and strategic recommendation.

Part 1: Agency Scorecard (15 min)

Rate your organization on the five dimensions of organizational agency. Use evidence from your direct experience — not aspirational statements.

Dimension	Question	Score (1–5)	Evidence
Shared model	Does the org have a coherent, widely understood model of its market?		
Clear preferences	Are organizational goals clear and non-contradictory?		
Action capacity	Can the org execute decisions without excessive friction?		
Belief updating	Does the org systematically learn from outcomes?		
Alignment	Are subunit goals aligned with enterprise goals?		

Write your response here

Interpretation:

- **21–25:** Strong coherent agent
- **16–20:** Generally effective with specific weaknesses
- **11–15:** Fragmented agent — subunit optimization dominates
- **5–10:** Severely dysfunctional — agency is distributed but not coordinated

Part 2: Role-Inference Mapping (15 min)

Select 5 key roles in your organization and map their inference specialization:

Role	What It Senses	What Model It Maintains	What Actions It Takes	Potential Blind Spots

Write your response here

Now identify: Is there an important aspect of the environment that **no role is currently responsible for sensing?**

Write your response here

Part 3: Incentive-Precision Analysis (15 min)

Choose two key roles and analyze how their incentive structures shape what they attend to:

Role A: _____

Incentive Metric	What It Prioritizes (High Precision)	What It De-prioritizes (Low Precision)

Role B: _____

Incentive Metric	What It Prioritizes (High Precision)	What It De-prioritizes (Low Precision)

Conflict Analysis: Where do Role A's high-precision signals conflict with Role B's? What organizational mechanism resolves (or fails to resolve) this conflict?

Write your response here

Part 4: Agency Failure Case (10 min)

Describe a specific instance where your organization's agency broke down — a decision that was delayed, misaligned, or counterproductive. Classify the failure mode:

- ☐ Principal-agent problem (subunit goals diverged from enterprise goals)
- ☐ Organizational drift (firm gradually lost strategic identity)
- ☐ Groupthink (disconfirming signals were suppressed)
- ☐ Analysis paralysis (no action despite sufficient information)
- ☐ Other: _____

Write your response here

Part 5: Recommendations (15 min)

Based on your analysis, propose three interventions to strengthen organizational agency:

1. **Quick win** (implementable this quarter):

Write your response here

1. **Structural change** (implementable this year):

Write your response here

1. **Cultural shift** (long-term investment):

Write your response here

Summary

Analysis Component	Key Finding
Agency coherence score	/25
Biggest inference gap (unsensed environment)	
Most misaligned incentives	
Primary failure mode	
Highest-priority intervention	